

ber 2019, was brought down firmly to 47 days in March 2022 through a strong collection drive. “We told our dealers that if you don’t bring your dues down, we will not supply you the material,” recalls Agarwal. (In March 2023, the NWC has again risen to 53 days.) The money released by cutting costs, enhancing productivity, managing inventory better, and from reducing the NWC was used to repay debt, informs Agarwal. All these initiatives helped Raymond’s net debt fall from ₹2,378 crore in September 2019 to ₹689 crore in March 2023, with a subsequent fall in the debt-equity ratio from 1.1x to 0.23x in the same period.

With more efficient money and operations management, Raymond was back in the black in FY22 itself, notching up a profit of ₹260 crore, despite Q1 of the fiscal being lost to the debilitating second wave of the pandemic. But it was the real estate business that stood out as the star among equals, carving a new growth path for an entity that is known to you as a clothing firm that promises to make you The Complete Man.

THE REAL ESTATE BET

Harmohan Sahni, of the light beard and light smile, is a qualified chartered accountant. The CEO of Raymond Realty has been leading various initiatives in real estate, starting with GE Shipping’s realty venture, then Mahindra Lifespaces, then his own venture, and then running Edelweiss’s realty lending business. Been there, done that. Calling himself a builder of businesses, Sahni, 55, joined Raymond in June 2021, when it really needed him. He is also a hard man to ruffle. Ask him how ₹2 crore for a 2BHK apartment can be called ‘affordable’, and he answers with a straight bat. “The market is always right. Who am I to say it is expensive or cheap? I cannot own that



K.A. NARAYAN, 65
PRESIDENT-HR, RAYMOND

► Joined Raymond in October 2007. A 38-year HR veteran, Narayan is an expert in M&A integration, leadership development, and legal matters

“The age of looking for people from the same domain is now moving to people from different industries, who can bring diverse perspectives. That will be the way to look for leadership talent in future”

value judgement if my product is selling better than the others. As of today, in the relevant Thane market, we have 25-30 per cent market share, which for one project in a micro market is significant. I have never seen it in my career... so I know it’s rightly priced,” he says with a drawl, calmly, slowly chewing on his words.

That kind of composure, plus experience, makes him the perfect man to front Singhania’s real estate dream. And Sahni believes this is just the beginning. The real estate industry, which is prone to long cycles, saw a seven-year downturn till a couple of years ago. And now, it is in the midst of another upcycle. “Things have stabilised on all those

fronts, there has been pent-up demand and the incomes have been growing, affordability is at its best that anybody’s seen in the last 30-40 years in India, in terms of multiples of income. I think there are significant tailwinds for this industry,” says Sahni.

According to Karan Singh Sodi, Senior MD, Mumbai Metropolitan Region & Gujarat of JLL India, certain factors have worked in favour of Raymond thus far. Its land bank houses a high school owned by the Singhania, Sulochanadevi Singhania School, fulfilling a big ask for buyers who have children. Then, a small part of the bank was sold to a mall developer, so a mall is also being built—that’s another ask fulfilled. Then, there is a hospital nearby, and being in Thane’s prime area, the ingress and egress to Raymond’s land is smooth. Plus, Sodi points out that Thane has had nearly 50 per cent share of all residential unit sales in Maharashtra in recent years. So, it’s a good place to be in currently for a realty developer.

Raymond’s performance is also adding muscle to the larger trend of big, established corporations jumping into the real estate gravy train, including Tata, Mahindra, Adani, Wadia, Godrej, Piramal, among others, especially thanks to the structural changes brought by RERA—Real Estate (Regulation and Development) Act. “These brands have been around for many years, so they have a head start. And completing projects in time gives huge comfort to consumers... anybody coming in will have to deliver on time, deliver the quality that is promised, and provide all the amenities required,” says Anshuman Magazine, Chairman and CEO, India, South East Asia, Middle East and Africa of real estate services and investment firm CBRE. Adds